

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST A

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Information Management is defined as: (True/False)

One of the 6 business functions. People, processes, and systems that collect, organize, store, and secure relevant data and information, and make it accessible and usable to make informed decisions.

TRUE FALSE

MATCH the FOLLOWING Information Management terms:

- Trade Secrets
- Intangible Assets
- Intellectual Property

2) _____: Ideas, inventions, methods

3) _____: Not known outside of the company, with "economic value"

4) _____: Of value, but not physical

5) Information Management involves which three things?

- A) Taxes, liability, decision making
- B) People, processes, systems
- C) Manufacture, purchase, logistics
- D) Pricing, choice, quality

6) When Information Management STORES information, where does it go?

- A) Search, retrieve, archive
- B) People, processes, systems
- C) Databases, servers, hard drives, clouds
- D) Audits, safety, integrity, accuracy

7) TRUE / FALSE _____ Information Management makes data accessible and usable to make informed decisions.

8) TRUE / FALSE _____ Raw data is info/data before it becomes useful information. Example: 100 people attended a movie premiere.

9) TRUE / FALSE _____ Relevant data is defined as:

Info/data before it becomes useful information.

MATCH the FOLLOWING:

- Risk Management
- Cyber Security

10) _____ : Audits, safety, integrity, accuracy

11) _____ : Protects sensitive info and trade secrets, and stops ransom attacks

*** Match the following:**

Operations

COGS

Gross Profit

Gross Margin %

12) _____ : Cost of goods sold: material, labor, rubber, glue

13) _____ : The daily functioning of an organization; where the execution of strategy happens

14) _____ : Sales revenue - COGS ($\$20 - \$8 = \$12$)

15) _____ : Gross profit expressed as a %, the same as "gross profit margin" ($\$12 / \$20 = 60\%$)

16) **TRUE / FALSE** _____ The industry standard gross profit margin for manufacturers is 25-35%.

17) **TRUE / FALSE** _____ When COGS goes up, gross profit goes up.

18) A company/business CHOOSES its business:

- A) Plan
- B) Function
- C) Model
- D) Trend

***Match the following business models:**

- D2C
- Bricks + Clicks
- Brick + Mortar
- Nickel + Dime
- MLM

19) Direct to Consumer: selling directly to the customer, no middlemen (Tesla).

Correct answer: _____

20) A physical store where customers can also order online for pickup or delivery (Target, Walmart).

Correct answer: _____

21) A physical store only, with street-side locations (a local hardware store).

Correct answer: _____

22) Buy cheap, sell cheap (Dollar Tree, low-cost airlines).

Correct answer: _____

23) Multi-level marketing: sellers earn money from their own sales and from recruiting others (Mary Kay).

Correct answer: _____

24) Direct competition offers the same product/service, like Target vs. Walmart.

TRUE FALSE

25) Bus vs. plane is an example of which type of competition?

- A) Direct
- B) Monopoly
- C) Indirect
- D) Oligopoly

26) Which of the following is an EFFECT of competition?

- A) Higher taxes
- B) Fewer choices
- C) Unlimited liability
- D) Jobs for the economy

*** MATCH THE FOLLOWING:**

- Trend
- Business Trend
- A.I.
- Machine Learning
- Gig Economy

27) _____ : A general change or movement, a prevailing tendency, a current style or preference (fashion)

28) _____ : A general change in the way business develops (technology!)

29) _____ : A computer program/machine that thinks and learns like humans

30) _____ : The way of achieving A.I.: it receives info and makes a decision (face recognition, GPS)

31) _____ : Contract workers who work for multiple companies, often remote (Uber, Lyft, dog walker)

32) TRUE / FALSE _____ Liability is the legal responsibility of an individual/entity for 1) actions 2) debt 3) obligations.

33) TRUE / FALSE _____ A sole proprietor has limited liability.

SCENARIO ANALYSIS: Evaluate the situation, then create a solution/resolve.

SCENARIO 1: Tesla

Tesla ran a competitive analysis against BMW, Mercedes, Toyota, and Honda on two lines: lack of quality to high quality, and not so expensive to expensive. Tesla came out cheaper than BMW and Mercedes but more expensive than Toyota and Honda, and its quality is behind BMW and Mercedes.

34) EVALUATE: What are Tesla's strength and weakness against BMW and Mercedes? **(2 points)**

35) CREATE A SOLUTION: What can Tesla do to compete with BMW and Mercedes? Give both options. **(4 points)**

SCENARIO 2: New soccer shoes

You are the VP of Marketing and Sales at a shoe company and want to launch 3 new soccer shoes. Your best-selling shoe sells for \$120 and costs \$30 to make (COGS).

36) EVALUATE: Find the gross profit and gross margin %, and compare it to the manufacturer industry standard. **(3 points)**

37) CREATE A SOLUTION: Should you launch the shoes? Which business function do you check with first? **(2 points)**

SCENARIO 3: Cyber breach

A hotel and casino company is hacked. Customers' names, birthdates, and driver's license numbers are stolen, and the hotel and casino computers are down for days.

38) EVALUATE: What data was taken, who was affected, and what were the effects? **(2 points)**

39) RESOLVE: Which two Information Management protections should the company use? **(2 points)**

SCENARIO 4: Two doctors

Two doctors are opening a practice together. Each one is worried about being blamed for the other's mistakes.

40) EVALUATE AND RESOLVE: Which type of business ownership should they choose, and why? **(2 points)**

ANSWER KEY: PRACTICE TEST A

Questions 1-33 (multiple choice, matching, true/false) are 1 point each. The scenario analysis, 34-40, is worth 17 points. Total: 50 points.

- 1) **TRUE.** That is the definition, straight from the board.
- 2) **Intellectual Property.** Intellectual property: ideas, inventions, methods.
- 3) **Trade Secrets.** Trade secrets are not known outside the company and have economic value.
- 4) **Intangible Assets.** Intangible assets have value but are not physical.
- 5) **B) People, processes, systems.** IM is people, processes and systems. Taxes, liability, decision making is where ownership varies.
- 6) **C) Databases, servers, hard drives, clouds.** Stores: databases, servers, hard drives, clouds. Search, retrieve, archive is how it organizes.
- 7) **TRUE.** Informed decisions was starred on the board.
- 8) **TRUE.** Raw data isn't useful yet.
- 9) **FALSE.** That is raw data. Relevant data is only the useful data, collected and stored to make decisions.
- 10) **Risk Management.** Risk management: audits, safety, integrity, accuracy.
- 11) **Cyber Security.**
- 12) **COGS.** COGS = cost of goods sold.
- 13) **Operations.** Operations: the day to day, where the execution of strategy happens.
- 14) **Gross Profit.** Gross profit = sales revenue - COGS.
- 15) **Gross Margin %.** Gross margin % = gross profit / sales price.
- 16) **TRUE.** Tech companies are 70%.
- 17) **FALSE.** COGS up means gross profit and gross margin % go down.
- 18) **C) Model.** A company chooses its business model.
- 19) **D2C.** D2C = direct to consumer.
- 20) **Bricks + Clicks.** Bricks + clicks: stores plus online ordering.
- 21) **Brick + Mortar.** Brick + mortar is the physical store alone.
- 22) **Nickel + Dime.** Nickel + dime: buy cheap, sell cheap.
- 23) **MLM.** MLM = multi-level marketing.
- 24) **TRUE.** Direct means the same product or service.
- 25) **C) Indirect.** Indirect: not the same product, but it satisfies the same need (getting there).
- 26) **D) Jobs for the economy.** Effects of competition: pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer.
- 27) **Trend.**
- 28) **Business Trend.** Business trend: the way business develops.
- 29) **A.I.**
- 30) **Machine Learning.**
- 31) **Gig Economy.**
- 32) **TRUE.** That is the definition on the board.
- 33) **FALSE.** A sole proprietor has unlimited liability: personally responsible for debts and obligations.

SCENARIO 1: Tesla

- 34) (2 points) Strength: price, it is cheaper than BMW and Mercedes. Weakness: quality, it is behind them.
- 1 point: strength: Tesla is less expensive than BMW and Mercedes.
 - 1 point: weakness: Tesla's quality is behind BMW and Mercedes.

35) (4 points) 1) Improve quality and choice but keep the price, so it competes with BMW and Mercedes and still beats them on price. 2) Offer a higher-end luxury Tesla at a higher price and compete directly.

- 2 points: improve quality and give more choice, but maintain pricing.
- 2 points: offer a "higher end" luxury auto, raise the price, and compete directly with BMW and Mercedes.

SCENARIO 2: New soccer shoes

36) (3 points) Gross profit \$90, gross margin 75%, more than double the 25-35% manufacturer standard.

- 1 point: gross profit = $\$120 - \$30 = \$90$.
- 1 point: gross margin % = $\$90 / \$120 = 75\%$.
- 1 point: the manufacturer standard is 25-35%, so 75% is more than double it.

37) (2 points) Launch them: the margin is far above the standard. First confirm with accounting/finance that the money is there, and use IM data so it's an informed decision.

- 1 point: yes, launch (or market more): the margin shows a strong revenue stream.
- 1 point: check with accounting/finance (is the money there?), using data from Information Management to make an informed decision.

SCENARIO 3: Cyber breach

38) (2 points) Customers' personal information was taken; the company lost days of business and money, and customers face identity theft.

- 1 point: what data and who: customers' personal info (names, birthdates, license numbers).
- 1 point: effects: systems down, lost money, customers at risk of identity theft.

39) (2 points) Cyber security to protect sensitive info and stop ransom attacks, and risk management (audits, safety, integrity, accuracy).

- 1 point: cyber security: protects sensitive info and trade secrets, stops ransom attacks.
- 1 point: risk management: audits, safety, integrity, accuracy.

SCENARIO 4: Two doctors

40) (2 points) An LLP: limited liability, and partners aren't responsible for each other's actions. Doctors and lawyers use it.

- 1 point: an LLP (limited liability partnership).
- 1 point: why: partners have limited liability and aren't responsible for each other's actions (doctors, lawyers).